

LoanServe — Interest Rate Policy

Document reference POL-INT-001 · Effective 2025-04-01

Scope and Application

This policy sets out how LoanServe prices every retail loan product and how a priced rate is revised during the life of a loan. It applies to home, vehicle, gold and personal loans sanctioned to resident and non-resident individuals. The rate offered to a particular applicant is always within the band published here for that product. Nothing in this policy entitles an applicant to a particular rate within a band.

Applicable Rate Bands

Home loans are offered at an annual interest rate between 8.50 percent and 9.75 percent depending on the applicant's bureau score and product variant. Vehicle loans carry an annual interest rate between 9.25 percent and 11.50 percent. Gold loans are priced between 10.75 percent and 13.00 percent per annum against the assessed value of the pledged ornaments. Personal loans, being unsecured, are priced between 13.50 percent and 18.00 percent per annum.

Risk Based Pricing

An applicant with a bureau score of 780 or above receives the lowest rate in the applicable band for the chosen product. Applicants with a bureau score below 650 are considered sub-prime and are priced at the upper end of the band, subject to additional underwriting. The rate offered is fixed at sanction and recorded in the sanction letter.

Rate Revision

Floating rate loans are reset on the first day of April and the first day of October each year. A rate revision intimation is sent to the registered email address at least fifteen days before the revised rate applies.

How a Rate Is Arrived At

The rate begins at the mid point of the band for the product and moves up or down with the applicant's bureau score. A verified salary credit history of twenty four months moves the rate down by up to 0.20 percentage points. An existing borrower with no default in the preceding thirty six months is offered a further reduction of 0.15 percentage points. An applicant with an active default with any lender is not priced at all until that default is regularised.

Benchmark and Spread

A floating rate is expressed as a benchmark plus a spread, and the spread is fixed for the life of the loan. The benchmark is reviewed by the Asset Liability Committee and any change to it applies to every floating rate account on the next reset date. A change in the benchmark is published on the customer portal on the day it is approved. The spread is changed during the tenure only where the borrower's risk grade has moved by more than two notches, and only after written intimation.

Effect of a Reset

On a reset the borrower may choose to keep the instalment unchanged and let the tenure move, or keep the tenure and let the instalment move. Where the borrower expresses no choice, the tenure is adjusted and the instalment is left unchanged. A tenure extension arising from a reset must not take the borrower past the maximum age at maturity for the product. Where a reset would breach that limit, the instalment is increased instead and the borrower is informed of the revised amount.

Definitions

'Bureau score' means the credit score reported by the credit information company at the time of assessment. 'Reset date' means the date on which a floating rate is revised in line with the benchmark.

Worked Example

A home loan applicant with a bureau score of 800 is offered 8.50 percent, the lowest rate in the home loan band, and that rate is written into the sanction letter.

Exceptions and Discretion

A rate below the published band is offered only under an approved campaign and only for the period of that campaign. A campaign rate is recorded in the sanction letter and does not change on the next reset unless the sanction letter says so. No employee may offer a rate outside the band on their own authority. Every exception is reported to the Asset Liability Committee at its next meeting.

Records and Evidence

The bureau report drawn at assessment, the score band applied and the final rate are recorded on the account file. Rate revision intimations are retained for eight years from the date they are sent. A borrower may obtain a written explanation of how their rate was arrived at on request to the servicing branch.

Related Policies

The Interest Rate Policy should be read with: Eligibility Norms.

Regulatory and Compliance Notes

This policy follows the directions on interest rate transparency and on the publication of benchmark and spread. The annualised percentage rate disclosed to the applicant includes every fee that is a condition of the loan. No penal charge is capitalised into the principal, and penal charges are not treated as interest for any purpose.

Review and Governance

Owned by the Treasury and Pricing team. Rate bands are placed before the Asset Liability Committee each quarter.